





ACKNOWLEDGEMENT OF COUNTRY

Calix acknowledges the First Nations People and Traditional Custodians of the land on which we live and work, and recognises their deep, ongoing connection to the land, waters, and community. We pay our respects to their Elders past, present, and emerging, and extend that respect to all First Nations People.

Calix's head office is located on Kuring-gai land, our Myrtle Springs mine is located on Adnyamathanha land, our Bacchus Marsh operational site is located on Wathaurong land, and our Nerang plant is located on Yugambah land.

SOCIAL INCLUSION STATEMENT

Calix embraces diversity and inclusion. It is one of our core values. We promote an inclusive and safe space for all and proudly welcome and support people of any race, ability, gender and identity.

For more information on Calix's business performance and governance, please visit our full reporting suite:



FY24
Annual Report



FY24 Corporate
Governance Statement

MARS IS FOR QUITTERS



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Notes: This Report has been prepared by Calix Limited (ABN 36 117 372 540) ("Company"). It contains summary information about the Company and its subsidiaries ("Calix") and their activities current as at 27 August 2024. It should be read in its entirety, together with the Forward Looking Statement Disclaimer at the back of this report.

FY24 SUSTAINABILITY HIGHLIGHTS

155+
EMPLOYEES
STRONG

0

SIGNIFICANT
SAFETY
INCIDENTS



IMPROVED ACCURACY
AND DEPTH OF
GREENHOUSE GAS
FOOTPRINT



LAUNCHED CALIX
AND LEILAC'S
DIVERSITY, EQUALITY
& INCLUSION
PANEL SERIES

90%

STRONGLY AGREE
OR AGREE THEY
ARE PROUD TO
WORK FOR CALIX

LETTER TO OUR STAKEHOLDERS

MESSAGE FROM
OUR CEO

Our vision is for Calix to be a leading global innovator of industrial solutions for the environment.

We are urgently applying our technology to address some of humanity's greatest challenges in decarbonisation and sustainability. Sustainability is core to our purpose, and as such, Calix is deeply committed to furthering our own environmental and social efforts.

Over the past year, Calix has made progress against our sustainability objectives as we continue to accelerate our impact. In FY24, we built on our previous greenhouse gas assessment by strengthening our data collection to complete a more robust and accurate assessment of our footprint. This has provided improved insight into where emission hotspots exist within our operations, enabling us to better target our efforts to minimise emissions. We also continued to innovate through our technology, making significant inroads towards providing viable pathways for efficient processing of low-carbon energy-intensive mineral products and the capture of unavoidable process emissions across multiple industries.

Our people are vital to our success. Their health and safety is paramount, and we are continuously improving and identifying new ways to further support our employees. I am pleased that in FY24 Calix had no significant injuries, demonstrating our strong safety culture and performance. We are focused on supporting the wellbeing of our people, and in the past six months held psychosocial workshops to gain a deeper understanding of the ways we can increase support for their mental health. These initiatives reflect the broader culture we're building at Calix. I would like to thank every member of our team for their contribution to creating a safer, and more inclusive, innovative and sustainable company.

At Calix, we aim to benefit the communities in which we live and work. In FY24, we continued to partner with organisations enabling clean water access and reaffirmed our commitment to the United Nations Global Compact, upholding our commitment to engage in practices consistent with our values and principles.

The Calix Board of Directors (the Board) maintains a proactive and careful process of board renewal to ensure the appropriate composition to support the delivery of Calix's strategic goals. The ongoing renewal has resulted in the Board being comprised of seven directors, including five independent non-executive directors, who together bring a strong mix of skills, experience, knowledge and diversity, including gender diversity.

As we near 20 years since our founding as a company in 2005, the applications and potential impact of our core platform technology continue to advance. Our technology and purpose-driven approach will play an increasingly important role as governments, investors, and customers demand cost-effective and environmentally sound solutions for the materials of our future economy.

The sustainability outcomes delivered by our technology and, increasingly our operations, present an opportunity for shared value creation and better environmental outcomes for all. We are pleased to share our progress against our internal sustainability ambitions from the past twelve months. Calix remains steadfast in our commitment to accelerating action against climate change, fostering diversity and inclusion, and embedding more sustainable and responsible business practices throughout our organisation. Because there is only one Earth.



Phil Hodgson
Managing Director & Chief Executive Officer



“

Calix remains steadfast in our commitment to sustainability.

MESSAGE FROM SUSTAINABILITY COMMITTEE CHAIR

Calix exists to solve global environmental challenges.

In the same spirit, the Company is stepping up its own efforts to further embed sustainability into its strategic decision-making in compliance with reporting standards. As Chair of the Board's Sustainability Committee, I have the distinct pleasure of working with fellow members, Calix's leadership and the broader team to advance Calix in its own sustainability journey.

In the past year, we have seen the global movement towards alignment of sustainability reporting standards strengthen. Sparked by the release of the International Financial Reporting Standards (IFRS) S1 and S2, Calix is working to enhance our sustainability strategy, governance, and risk management in line with the Australian Accounting Standards Board's (AASB) proposed Australian Sustainability Reporting Standards (ASRS).

The Company has taken early steps to ensure key elements of the ASRS are provided in this year's Sustainability Report. This includes key metrics such as Calix's greenhouse gas footprint, covering all three segmented scopes. The Company is laying the groundwork for full compliance ahead of the Group 3 FY28 reporting deadline recommended by the Australian Government's Treasury.

To this end, Calix commenced an ASRS gap analysis to identify areas where the Company could improve by incorporating climate and other material sustainability-related risks and opportunities in its assessments and governance processes. Further, Calix is currently evaluating the necessary technology and tools to independently assure its climate-related disclosures. The culmination of this work will enable Calix to consider the most impactful topics to its long-term resilience – informed by science, data and stakeholder feedback.

We look forward to keeping you informed of our progress towards our sustainability ambitions.



Helen Fisher

Non-Executive Director and Chair, Sustainability Committee



“

Calix is stepping up its own efforts to further embed sustainability across company practices.



CLIMATE STATEMENT

Calix recognises the impact climate change will have on our business, operations and value proposition, including potential opportunities and risks.

Calix is committed to high standards of corporate governance and transparency. The Board, with support from the Sustainability Committee, oversees the Company's sustainability strategies, policies and initiatives. In tandem, the Audit and Risk Management, People, Culture and Nominations, and Technology Committees play an important role in assisting the Board to fulfil its other corporate governance and oversight responsibilities, including climate and regulatory-related risk management systems, and embedding Environmental, Social and Governance (ESG) considerations across the Company. Within Calix, we have a dedicated resource to manage our ESG activities, as well as a group of volunteers from across regions, functions and business lines drive the implementation of our internal sustainability initiatives (Volunteer Sustainability Team).

Calix is on a mission to help solve some of the greatest global environmental challenges of our time, including through the decarbonisation of cement, steel and alumina, sustainable processing of critical minerals, direct air capture of atmospheric carbon dioxide (CO₂), and sustainable environmental products. Accelerating a just transition to a carbon-neutral world is both a business and operational priority.

In FY24, Calix completed a more comprehensive greenhouse gas (GHG) assessment, providing a detailed footprint of the Company's FY23 emissions. As a result, Calix is able to report Scope 3 emissions – a key milestone in our commitment to reduce the Company's emissions in line with the 1.5 °C degree pathway. The assessment identified the hotspots in our operations and supply chain, which will inform our emissions reduction roadmap and activities.

Ahead of the reporting deadline recommended by the Australian Government's Treasury, Calix will conduct a materiality assessment and climate scenario analysis to help inform our strategic areas of focus and feed into our investment decisions and planning. We expect these exercises will provide the Company with additional, robust insights into the relevant material climate-related risks and opportunities over the short, medium and long term, pursuant to the proposed ASRS. We will share the outcomes of these exercises in forthcoming reports.

FY23 emissions footprint

GHG emissions by scope (tCO₂-e)

SCOPE 1

2,791.5

SCOPE 2 (MARKET-BASED)

587.5

SCOPE 3

14,558.4

TOTAL EMISSIONS

17,937.3

For more information about Calix's:

- Sustainability strategy and targets, please see '[Our sustainability ambitions](#)'
- Governance and risk management, please see '[Responsible business](#)' and our FY24 Corporate Governance Statement

OUR PURPOSE-LED APPROACH

CALIX VALUES



Sense of urgency

Sense of urgency means we embrace the rate of change necessary to make a sustainable future a reality.



Positive impact

Positive impact is what drives us to work every day. We are driven to use our unique skills to create truly sustainable industrial practices.



Innovation

Innovation reflects our ability to think from first principles, to challenge each other, and adapt quickly to new opportunities.



Resolute

Resolute means we are a purpose-driven company and determined to make a positive difference for the long-term.



Inclusive

Fostering a diverse and inclusive culture is not just a moral imperative; it provides the foundation for driving innovation and business success. Diversity is a key focus for our company.



Teamwork

At the foundation of our spirit is teamwork. We are a down-to-earth, caring, honest, innovative and dedicated team of people working together to solve global challenges.

At Calix, sustainability sits at the core of our purpose. It guides our decision-making, shapes our strategies, and inspires innovation. As a company working to solve some of the most pressing and challenging global issues of our time, we aim to minimise the negative impacts of our operations and amplify the positives. **Because Mars is for quitters.**



Our foundations

In 2005, Calix's founders Connor Horley and Mark Sceats first embarked on the development of a revolutionary idea for a new type of kiln. It quickly became apparent the technology had the potential to be applied across a multitude of industries to help solve some of the world's greatest challenges. Through a combination of rigorous research and development, targeted investment decisions and funding, and the ingenuity and passion of a dedicated team, the potential of the Company's core platform technology is beginning to be realised. From a single application in wastewater treatment, Calix now has 28 patent families covering its core platform technology and applications across a range of industrial decarbonisation, mineral processing and environmental solutions.

As an environmental technology company, we aim to embed sustainability considerations into our decision-making. Participating in the United Nations Global Compact (UNGC) – the world's largest corporate sustainability initiative driving action to support the achievement of the Sustainable Development Goals (SDGs) – means aligning our practices with the Ten Principles of the UNGC and working towards the SDGs.



29

**PATENT FAMILIES
COVERING CORE
TECHNOLOGY &
APPLICATIONS**



10

**UNGC PRINCIPLES
EMBEDDED
IN CALIX'S
OPERATIONS**

Alignment with the United Nations Global Compact

The SDGs are at the heart of the United Nation's 2030 Agenda for Sustainable Development, a shared blueprint for peace and prosperity for people and the planet, now and into the future. Seventeen integrated goals represent a call to action in critically important areas for humanity and the planet, such as ending poverty, improving health and education, reducing inequality, and preserving nature. Positively impacting one area will benefit another, spurring further progress needed within the window of opportunity to prevent the worst impacts of the climate crisis and secure climate justice.

To reach the SDGs, industries must have a sustainable and economical pathway towards carbon neutrality and effective management of our land and water. Just like the UNGC, Calix recognises the need to balance social, economic and environmental sustainability. Across the applications of the Company's core platform technology, we are providing solutions aligned with ten SDGs.

Calix's operations are grounded in the UNGC's Ten Principles. These Ten Principles outline the foundation of a principles-based approach to conducting business: upholding basic responsibilities to people and the planet while setting the stage for long-term success. By implementing the Ten Principles, companies avoid undermining the achievements of the SDGs and contribute to their realisation.

As a signatory of the UNGC, Calix is committed to making the Ten Principles part of our strategy, culture and operations and taking action in support of the SDGs. Calix supports and respects the rights of all humans, upholds ethical and fair labour practices, aims to operate in an environmentally responsible manner and is committed to conducting our business and related activities with the utmost integrity. Calix has been a proud member of the UNGC since 2020 and has recommitted annually through our Communication on Progress, including in 2024.



CREATING VALUE AND IMPACT

Our technology

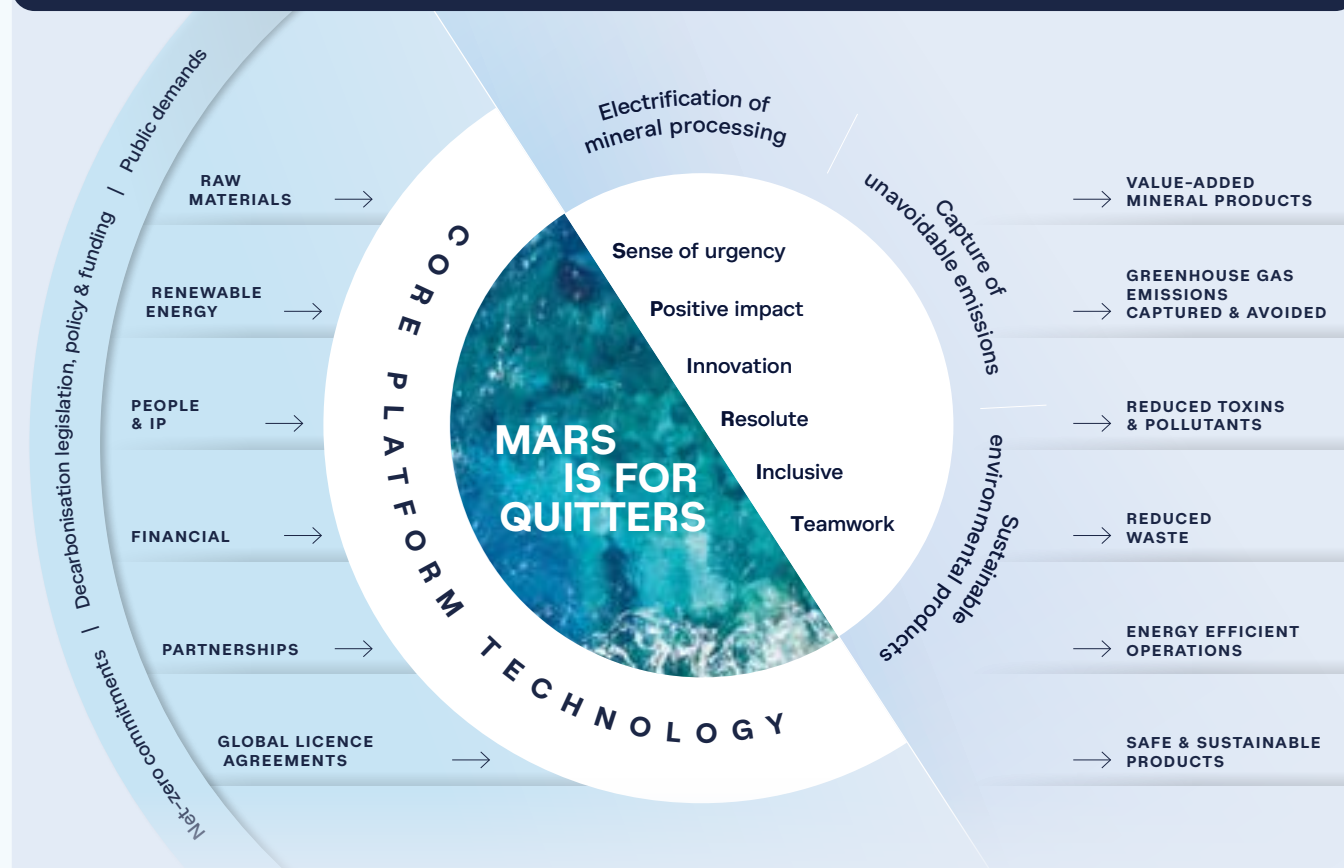
Every application of Calix's core platform technology is designed to address a specific global challenge consistent with our purpose, values, and company ethos, present opportunities for shared value creation and economic growth, and deliver sustainable competitive advantage.

Calix is applying its core platform technology to:

- The decarbonisation of cement, iron and steel, and alumina;
- Sustainable processing of critical minerals;
- Direct air capture of atmospheric CO₂; and
- Sustainable environmental products for water and agriculture.

As government regulations, climate commitments, and investor pressure create demand for net zero solutions, Calix is developing affordable and scalable solutions that balance social, economic and environmental sustainability.

HOW WE CREATE VALUE



CREATING VALUE FOR

People



Communities

Helping balance economic, social & environmental sustainability in support of a just transition to net zero

Shareholders

Targeting shareholder returns through delivery to large addressable markets

Our people

Enabling impactful work & personal development in a diverse & equitable environment

Partners



Developing cost-effective low-carbon mineral processing for:

- Cement & lime
- Iron & steel
- Critical minerals
- Alumina
- Direct Air Capture
- Water
- Agriculture

Planet



Targeting local & global environmental benefits including:

- Climate change mitigation
- Sustainable mineral production
- Effective water & wastewater treatment
- Non-toxic crop protection
- Prevention of antimicrobial resistance
- Sustainable development

Efficient and low-carbon intensity mineral processing

Calix's core platform technology is designed to replace the carbon-intensive heating of minerals with efficient, low-carbon and renewably powered mineral processing solutions.

Ground minerals float down through externally heated tubes where they are quickly heated by heat radiated from the tube walls. The indirect heating process enables clean, efficient and precise electric heating to replace inefficient combustion and carbon-intensive fossil fuels.

By separating what we heat from how we're heating it, any carbon dioxide released directly from the raw material, which is unavoidable in the making of cement and lime, is kept pure and can be efficiently captured for use or storage.

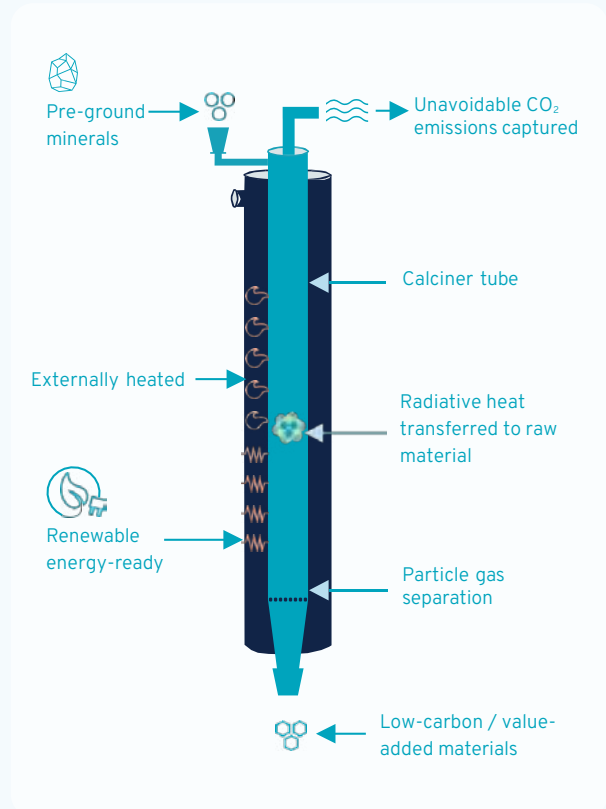
For green iron and steel, hydrogen is used to remove oxygen from the mineral. Hydrogen, however, is not combusted or used as a fuel, and is easily recycled. This unique feature of the technology aims to enable the lowest-cost solution for the production of green iron and steel.

Calix's flash calcination technology can also create high surface area materials with enhanced chemical and/or bioactivity.

Our reach

Calix's strong global partnerships and collaborations with industry, academia and governments are helping to enable the rapid development and commercialisation of Calix's core platform technology. We recognise and thank each of our partners for their vital contributions to our efforts in addressing some of humanity's greatest challenges.

Australian Government	HILTCRC
ARENA	IKN
BGR	Imperial College London
Carbon Trust	LEAP
CEA StAR	LHOIST
CEMEX	Pilbara Minerals
CERTH	Politecnico
CIMPOR	Port of Rotterdam
CRC SAAFE	PSE
Deakin University	Quantis
Engie	SAAGE
Future Batteries Industries CRC	SmartCrete CRC
Geological Survey of Belgium	Solvay
Geological Survey of London	Tarmac
HEIRLOOM	TNO
Heidelberg Materials	





OUR SUSTAINABILITY AMBITIONS

At Calix, sustainability means meeting our own needs without compromising the ability of future generations to meet theirs. It is deeply embedded in our purpose – solving global challenges.

Together, we are working towards three ambitious goals by 2030. These goals, selected by the Volunteer Sustainability Team, and ratified by the Board, represent how Calix is addressing some of the most material risks and opportunities: carbon emissions, diversity and inclusion, and environmental impacts.

Science-based emission reduction in line with the 1.5°C pathway.

Gender balance at all levels of the organisation.

Address the sustainability of the materials and resources we use in our business.

In addition to the Company's three 2030 sustainability ambitions, the health and safety of our people continues as always to be our primary operational focus. Health and safety is so paramount that it serves as a gateway to Calix's bonus structure. The bonus can be awarded only when safety KPIs are fully met each year.

The following section of the FY24 Sustainability Report outlines the headway we've made over the past year against these goals and provides a view of the future. We are pleased to share our progress as we remain steadfast in our commitment to building a more sustainable planet.

AMBITION

OUR PROGRESS & WHAT'S NEXT

Science-based emission reduction in line with the 1.5 °C pathway.

Gender balance at all levels of the organisation.

2024 ACHIEVEMENTS

– We built on our previous greenhouse gas emissions assessment by strengthening our data collection to complete a more robust and accurate footprint.

– We launched our first Diversity, Equality and Inclusion (DE&I) series, facilitating conversations with Calix and Leilac team members on how to further representation and equality in our workplace and our world.

– Achieved gender balance at the Board level following the Board renewal process.

WHAT'S NEXT

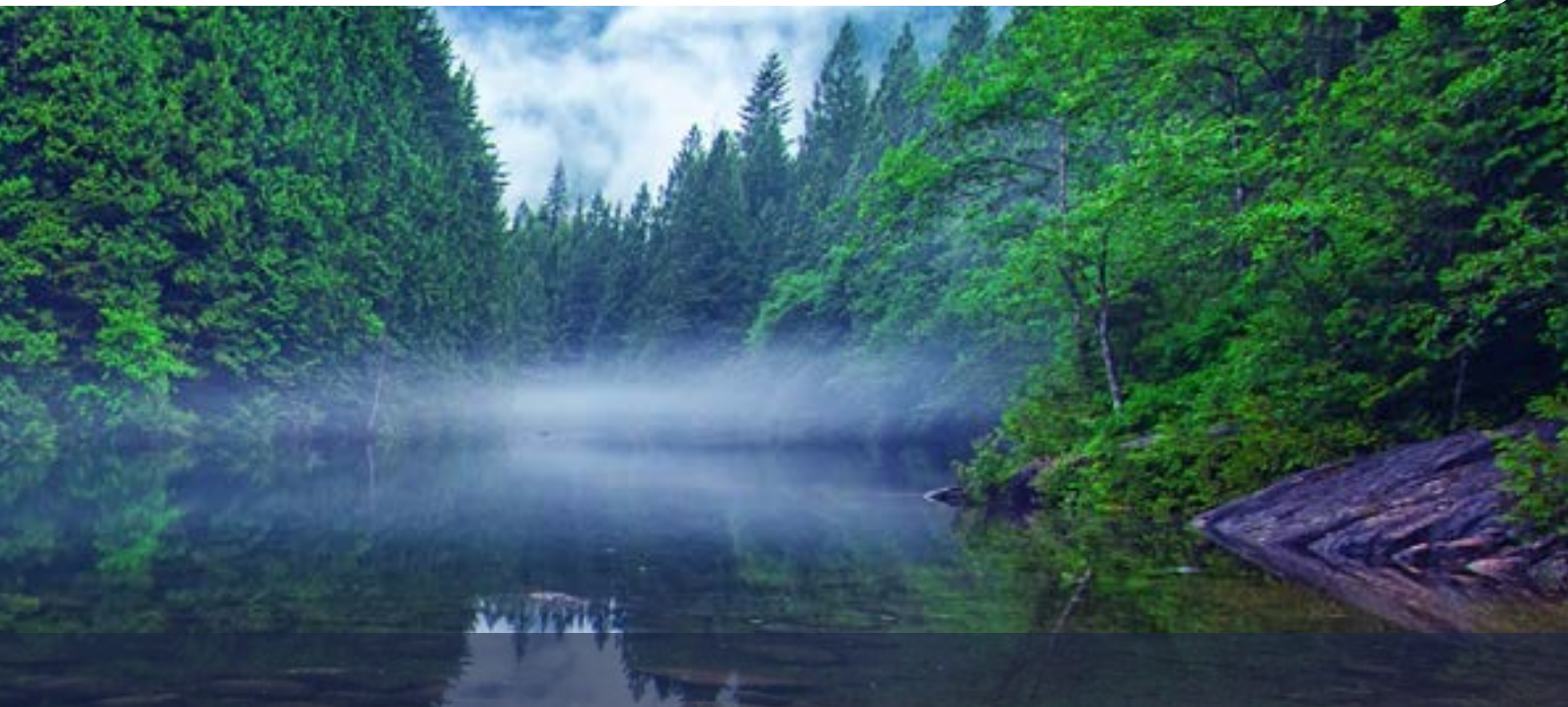
– Taking learnings from the past two assessments, Calix will complete a full baseline in the coming year. The FY24 greenhouse gas footprint will serve as the starting point for our future progress.

– Calix will develop a reduction roadmap and begin addressing some of the largest sources of emissions within our operations and supply chain.

– Following positive feedback from Calix employees and external stakeholders on the valuable insights shared during our DE&I panels, the series will continue to explore DE&I themes related to our Company.

– In FY25, Calix will conduct a remuneration assessment to identify any internal sources of financial inequity. The analysis will follow the implementation of a Human Resource Management system in early 2025.

– Recognising the sustainability and commercial benefits that come from greater diversity, Calix will engage with female and diverse university students to foster interest and attract talent in Science, Technology, Engineering and Mathematics (STEM).



Address the sustainability of the materials and resources we use in our business.

- Following the identification of Calix's top sources of emissions – which include the processing and transportation of our magnesium-based product – we held internal discussions around how to improve the way we procure, process, and transport materials through our value chain.
- The Company also continued to explore ways to minimise waste from our Intermediate Bulk Containers (IBCs), which are used to transport our Magnesium Hydroxide Liquid (MHL) products, including distributing 38 IBCs for reuse and trialling cardboard IBCs for recycling.
- Calix commenced the development of an Environmental Management System (EMS) to help further identify and manage operational risks related to the environment.

- In FY25, Calix will explore Lifecycle Assessment frameworks and tools to support the evaluation of applications of our core platform technology, ensuring we optimise the use of material inputs.
- Calix intends to evolve the sustainability strategy and set clear qualifications for our environmental impact reduction efforts. In FY25, Calix will analyse site operations to identify opportunities to further reduce waste and increase resource efficiencies.
- Building on the framework of the EMS, Calix plans to introduce a monitoring mechanism of environmental impact issues and incidents, enhancing the way we control material environmental risks.
- The Company will begin to incorporate sustainable procurement practices as new demonstration plants and facilities are built.

Zero harm in the business through a safe working environment.

- Calix introduced monthly company-wide safety updates to foster communication between the safety team and the wider group.
- To further increase awareness around relevant safety topics, the Company established noticeboards at each plant site.
- The Company started a safety alert program, issuing safety alerts with information, including key response actions, following certain incidents.
- Calix continued to adopt industry best practices by transitioning from Job Safety Analyses to Safe Work Method Statements – a key component of Australia's Work Health and Safety mandate.
- The Company made strong progress enhancing overall safety reporting, broadening the focus from Calix's technology centre, Bacchus Marsh, to the rest of the organisation.
- Calix invested efforts into safety culture, whereby the executive leadership team conducted walk and talks, incident investigations and audits with staff with the purpose of communicating ultimate intent of the activity.

- Calix will roll out an updated Health & Safety management system, enhancing usability and effectiveness.



MINIMISING IMPACTS ON THE ENVIRONMENT

DECARBONISATION

Emissions

In FY22, Calix committed to reducing our GHG emissions in line with the 1.5 °C pathway set by the 2015 Paris Agreement. This target follows science-based guidance of limiting global temperature warming to a level that avoids the most severe impact of climate change. As a company helping hard-to-abate industrial sectors to decarbonise, Calix is strongly aligned with this goal. Over the past two years, our team has worked in earnest under the guidance of carbon management consultants to gather the information needed to understand our GHG footprint. The Company's FY23 GHG inventory serves as a starting indicator of emissions hotspots and persistent data gaps. We will continue to implement improvements to both reduce emissions and aid in data gathering in the months and years ahead.

As a result of improving the accuracy of Calix's Scope 3 data, and the additional inclusion of the MHL products developed by our business in the US, the Company's estimated GHG footprint for FY23 increased from FY22. The increase is not a result of any significant changes in Calix's operations or business strategy. We continue to improve data collection and expect to have a comprehensive baseline of our FY24 footprint in next year's report. To ensure our efforts are at the pace and scale in line with the Paris Agreement, we intend to pursue a third-party validated decarbonisation target following the establishment of our FY24 baseline.

With oversight from the Board, supported by the Sustainability Committee, our Volunteer Sustainability Team is working across Calix to explore, prioritise and execute initiatives to drive the reduction of our GHG footprint.

Scope 1 emissions

In FY23, Calix's Scope 1 emissions were estimated to be 2,791 tCO₂-e, representing approximately 15.6% of the Company's total carbon footprint. These encompass the direct emissions from Calix's operations, such as the burning of natural gas in magnesite calcination to produce our MHL products, fuel consumed by Company-owned vehicles and equipment, including those used at our Myrtle Springs mine site, as well as the use and leakage of refrigerant gases at Calix offices and plants.

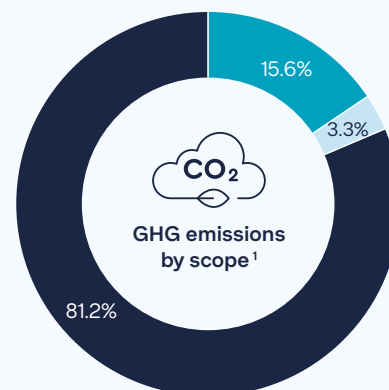
Scope 2 emissions

In FY23, Calix's Scope 2 emissions were estimated to be 587.5 tCO₂-e, representing 3.3% of the Company's total carbon footprint. These encompass indirect emissions resulting from Calix's operations, such as energy from electricity purchased for consumption at the Company's offices and plants.

Scope 3 emissions

In FY23, Calix's Scope 3 emissions were estimated to be 14,558.4 tCO₂-e, representing 81.2% of the Company's total carbon footprint. These encompass indirect emissions resulting from all other upstream and downstream emissions across our value chain, such as purchased goods and services, business travel, and fuel consumption related to the transport and operation of stationary equipment.

Scope 3 emissions provide an indication of the emission sources outside the Company's direct control. Calix is not immune to the data gaps commonly encountered for these indirect emissions. As part of the Company's next GHG footprint assessment, we will complete another boundary-setting exercise to expand the scope as well as work with suppliers to improve our overall reporting. We also recognise the outsized impact Calix's Scope 3 emissions have on the Company's emissions footprint and the particular complexities of reducing these emissions. Opportunities to improve the Company's supplier selection process and increase supplier engagement are some of the strategies currently being developed to reduce Scope 3 emissions in addition to resolving key data gaps.



- Scope 1
- Scope 2 (market-based)
- Scope 3

1. Note: Due to rounding, percentages may not total exactly 100%.

GHG emissions footprint

Emissions inventory	FY23 tCO ₂ -e
Scope 1	2,791.5
Scope 2 (location-based)	771.3
Scope 2 (market-based)	587.5
Total Scope 1 and 2 (market-based) emissions	3,379
Scope 3	14,558.4
Total emissions: Scopes 1, 2 (market-based) and 3	17,937.3

GHG emissions by category

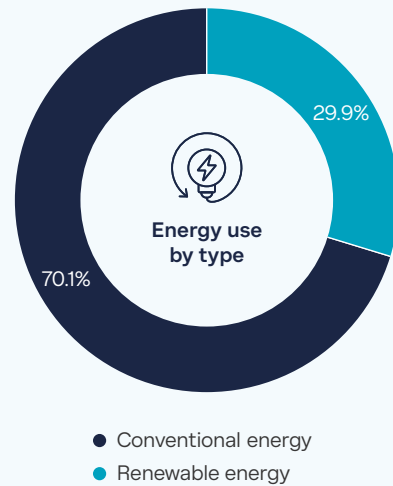
Category	FY23 tCO ₂ -e	Contribution to gross total
Products, materials & equipment	12,855.8	71.7%
Transport fuels	1,703.5	9.5%
Business travel	846.9	4.7%
Stationary fuels	660.4	3.7%
Electricity	647.5	3.6%
Postage, courier & logistic	595.3	3.3%
Construction & repair services	190.0	1.1%
Employees	174.3	1.0%
Waste	108.9	0.6%
Professional services	86.6	0.5%
ICT services	22.0	0.1%
Water & wastewater	19.7	0.1%
Synthetic greenhouse gases	17.7	0.1%
ICT equipment	8.2	0.05%
Office supplies & services	0.5	0.003%
Total	17,937.3	100%

GHG emissions by facility

Facility	FY23 tCO ₂ -e
Centralia Plant	4,014.70
Calix Technology Centre, Bacchus Marsh	3,772.20
Muscatine Plant	3,193.10
Pasco Plant	2,896.40
Big Soo Plant	1,683.80
Leilac-1 Plant	1,078.80
Nerang Plant	914.4
Pymble Head Office	197
Spokane Office	7

Energy

The Company is taking steps to transition our operations to renewable electricity. We installed solar panels at Calix's Technology Centre in Bacchus Marsh, Victoria, Australia and are exploring additional ways to procure electricity powered by renewable energy sources.



Carbon intensity

Carbon intensity is a key metric by which Calix intends to evaluate how the Company is decoupling our resource use from business growth. For the first time, we quantified the carbon intensity of our highest-volume product – MHL. Reducing our carbon intensity will be a key area of focus within our decarbonisation efforts.

Carbon intensity	Unit	FY23
Carbon intensity per t of MHL sold ¹	tCO ₂ -e	0.8

Fleet

Transport fuels make up nearly 10% of Calix's emissions footprint. While the broader electric charging infrastructure and electric fleet technology are still maturing, Calix has started to make progress by introducing two new hybrid vehicles to our fleet in the US.

Fleet data	Unit	FY23
Fleet fuel consumption	GJ	19,381.2
Average fleet age	Year	2014

1. Carbon intensity metrics are used to relate greenhouse gas performance to a business measure category. Calix's carbon intensity metric is based on a ratio of the gross combined Scopes 1, 2 and 3 and reported as tons of emissions produced per ton of MHL product sold.



MINIMISING IMPACTS ON THE ENVIRONMENT

ENVIRONMENTAL IMPACT

Calix is committed to conducting our business in an environmentally responsible manner, consistent with our [Environmental Policy](#). Beyond reducing our GHG emissions, we are exploring the broader impact our operations have on the natural environment, including water, waste and chemicals. Initiatives to accurately measure these impacts, in addition to actual resource reduction, are underway.

Calix did not receive any environmental fines (significant or otherwise) in FY24. The Company manages potential risks, such as an environmental incident, through our risk management process. Read more about our approach to risk management in the Company's [Risk Management Policy](#).

Water

Water is a key ingredient in Calix's MHL products for water treatment, aquaculture and wastewater management. Identifying efficiencies to reduce our water usage, particularly in any areas of high water stress, will be a focus for the future.

Water	FY24 m3
Total freshwater consumption	16,182 ¹
Water use from alternative water sources	14% ²

Waste

Calix aims to use an increasingly circular operating model, where waste is reduced and ideally eliminated. This requires investment and partnerships to drive a broader shift in the economy. During the transition period, the Company is investigating new ways to continue to limit waste where possible.

Waste	FY24 m3
Solid waste	79.4 ³

Environmental management

In May 2024, Calix engaged a qualified external consultant to develop the Company's EMS to shape and further improve our environmental practices and procedures. The new EMS system will be delivered in FY25 as we refer to ISO 14001 for best practice. We look forward to sharing details about the implementation of this new system in next year's Sustainability Report.

1. Due to data limitations, water data represents estimated consumption at select facilities including Big Soo, Centralia, Pasco and Muscatine in the US and Bacchus Marsh and Nerang in Australia.
2. Rainwater runoff from the Bacchus Marsh warehouse into the production feed tank.
3. Due to data limitations, waste data represents estimated waste from select facilities including Big Soo, Centralia, Pasco, and Muscatine in the US and Bacchus Marsh and Nerang in Australia.







PROTECTING AND INVESTING IN PEOPLE

Our people are essential to delivering our purpose.

They are scientists, engineers and technical specialists dedicated to solving global challenges. Calix is continuously developing ways to support our people, with an unwavering commitment to health and safety. That commitment extends to all people who interact with our operations and live in and around the communities in which we operate.

In FY24, Calix grew its workforce to over 155 people, an increase of approximately 22% from the prior year. Through our continued growth we are committed to fostering diversity and a culture of inclusion, as well as protecting the health and safety of our workforce.

Global workforce

Total employee count	164
New hires	59
Contractors	5
Casual	4
Fixed-term	2
Part-time	3
Employee turnover	15%

Developing our people

Our people are the heart of Calix, purpose-driven to realise the potential impact of our technology. As we strive towards our vision to become a leading global innovator of industrial solutions for the environment, we continue to invest in the development of our people.

In FY24, our Executive Management Team and an extended leadership team took part in leadership training and coaching to support their professional and personal growth. In FY25, we will roll out leadership training to all leaders and managers across the business. Professional development resources and other learning opportunities will also be provided to a wider group of employees. We also continue to deliver our goal of increasing diverse representation, with further initiatives planned that aim to grow and advance a strong pipeline of diverse talent.

DIVERSITY & INCLUSION

Increasing representation

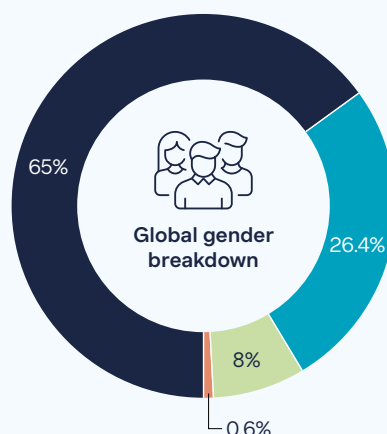
Calix embraces diversity and inclusion; it is one of our core values. We promote an inclusive and safe space for all and proudly welcome and support people of any race, ability, gender and identity. In FY21, Calix's Volunteer Sustainability Team adopted the UNGC's Sustainability Development Goal Ambition Benchmark of achieving gender balance at all levels of management by 2030. As we acknowledge the benefits of greater gender diversity, we are taking this ambition further by applying it across all levels of the organisation. Ensuring a strong pipeline of diverse candidates, development of talent, and an inclusive culture are strategic imperatives we believe will benefit Calix's business, our people, and the planet.

25.6%

Female at
Management Level¹

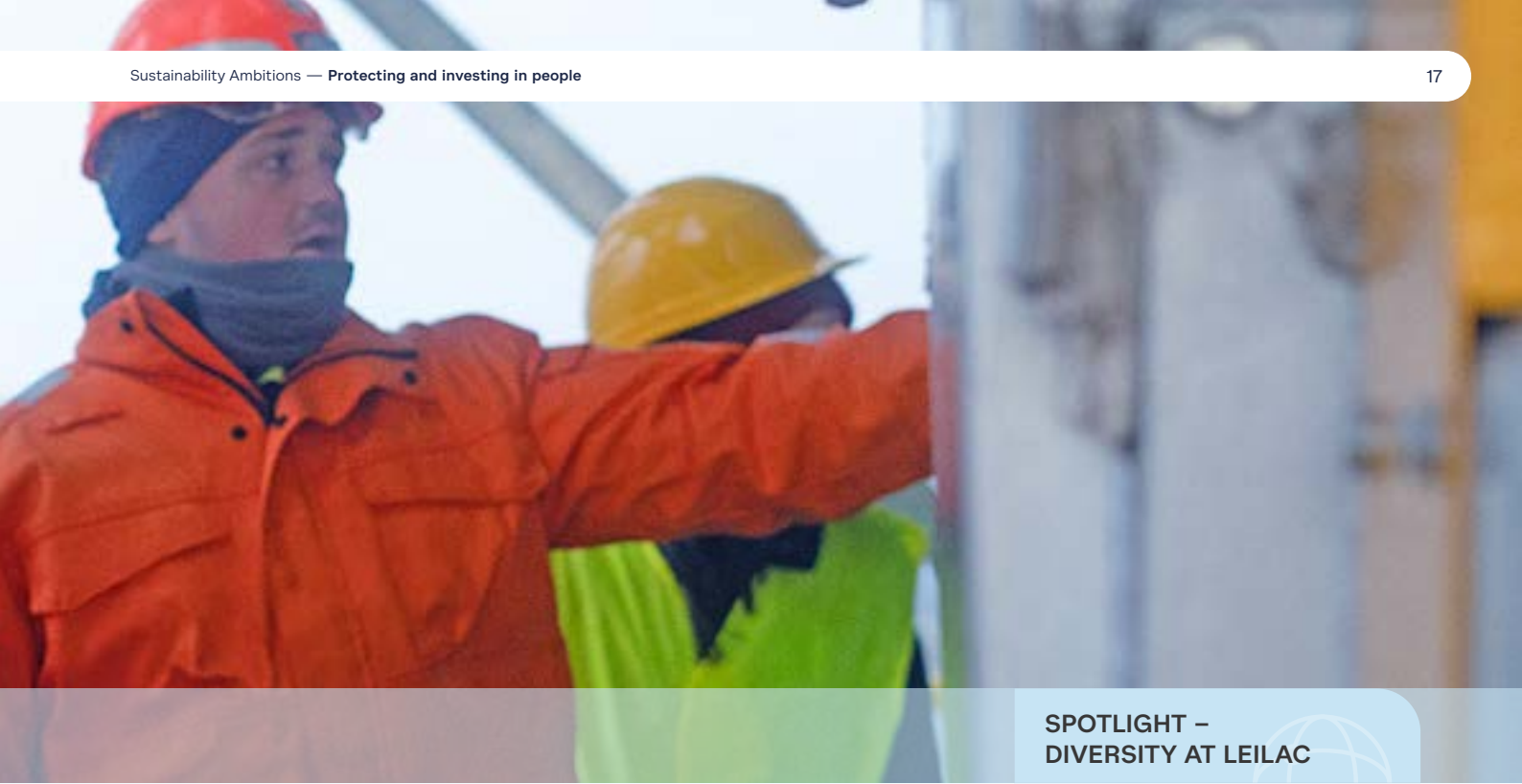
43%

Female at Board of
Directors Level



● Male ● Not disclosed
● Female ● Non-binary/conforming

1. Management level encompasses all people managers at Calix Limited.



SPOTLIGHT – DIVERSITY AT LEILAC

Leilac is a global, collaborative technology partner seeking to enable a sustainable future for cement and lime in a carbon-neutral world. As a mostly remote work company, Leilac aims to attract the strongest talent from all over the globe, using the team's unique and diverse backgrounds to develop innovative decarbonisation solutions. Together, the Leilac team speaks over 25 languages and represents 28 nationalities from over 13 countries. By driving innovation, the diversity and experience of our team are accelerating the impact we can have on creating sustainable industries and helping to avoid the worst effects of climate change.

Diversity, Equality and Inclusion series

In FY24, Calix commenced a panel series on DE&I in partnership with our subsidiary, Leilac. Topics ranged from promoting female participation in STEM to the connection between DE&I and sustainability. Recordings of the panel discussions are publicly available via the Calix and Leilac websites and [social media channels](#). We will continue the series in FY25.

Promoting inclusivity and engagement

At Calix, we endeavour to cultivate a highly engaged and inclusive culture that fosters a sense of belonging for all employees.

In September 2023, Calix conducted an employee survey with the results highlighting strong engagement and pride among our people:



84%

**EMPLOYEE SURVEY
PARTICIPATION RATE**



82%

**GENERAL
ENGAGEMENT RATE**



90%

**STRONGLY AGREE OR
AGREE THEY ARE PROUD
TO WORK FOR CALIX**

Areas of improvement identified in the feedback received from the survey centered on company systems and processes and internal communications.

In FY24, Calix appointed its first full-time General Manager, People & Culture. With leadership from the General Manager, People & Culture the Company has established a new People & Culture Strategy, which includes initiatives to address the employee survey feedback.

MEET SOME OF OUR TEAM





PROTECTING AND INVESTING IN PEOPLE



HEALTH & SAFETY

Calix is resolute in achieving zero harm in our business through the provision of a safe workplace.

Each year, the Board approves Key Performance Indicators (KPIs) as part of the Company's Safety, Health, Environment, and Quality Action Plan. This acts as the first performance gateway for the Company's Employee Incentive Scheme (EIS), in which rights or options can only be awarded if the safety KPIs are achieved for that year. This mechanism aims to demonstrate Calix's commitment to safety at the highest level.

In addition, safety is the first agenda item at all Board and leadership team meetings. To further encourage safe work practices and engagement, actions that contribute to a positive safety culture are now recognised at monthly all-staff and site meetings. The Company's dedicated Health & Safety team meets monthly to review incidents, share findings, and identify actions and preventative measures, with a targeted attendance KPI of 80%.

Calix's commitment to safety and wellbeing extends to anyone on-site, including people who conduct contract work. To this end, Calix is developing a contractor management procedure that defines the activities required to successfully and safely engage the Company's contractor workforce.

Safety management system

The Calix safety management system, which covers all Calix-managed work, is grounded in Calix's Health, Safety and Environment (HSE) Manual. The HSE manual links to all critical and core procedures and their associated templates, providing simple access to all documents referenced within the management system.

Training is an important component of the broader safety approach to preventing injury. All employees are required to complete a safety training induction as part of the Company's onboarding process for new employees. Any operations personnel must also complete additional training around manual handling, finger and hand safety, how to use the safety management system and report safety incidents.

Calix is dedicated to continuously improving, with several significant safety system advancements implemented in FY24 to enhance suitability and effectiveness. This redevelopment included a three-month review of all procedures, engaging stakeholders at every level of the business. The HSE Manual was updated to divide processes into two main categories: critical risk procedures and core procedures.

Critical Risk Procedures

The Critical Risk procedures describe mandatory processes and controls to protect people from the high-risk activities – as defined in regulations – associated with the work undertaken by Calix employees and contractors. The procedures have expanded to include additional high-risk activities, reflecting Calix's growth and new undertakings. Each procedure includes clearly defined activities and associated accountabilities, ensuring that individuals have a clear understanding of their roles and responsibilities. This resource, along with custom permit-to-work templates tailored to each respective high-risk activity, creates the foundation for effectively managing risks.

Core Procedures

The Core Procedures establish processes to support the achievement of HSE-related objectives, drive continuous improvement, and ensure the engagement and participation of employees and other stakeholders. Within the Core Procedure set, Calix's Creating Safe Work model has been further developed to define the roles and responsibilities of the job supervisor and people doing the work. The model is a cornerstone of the safety management system and our operations.

In FY25, Calix will roll out the updated Health & Safety management system across the company through robust communications and training to our workforce.

CREATING SAFE WORK MODEL



Calix's Victoria and Queensland sites are accredited under ISO 45001, the International Standard for Work Health and Safety Systems, encompassing 6 of the Company's 14 production plants.

FACILITY SAFETY & MANAGEMENT

Physical safety

Safety continues to be Calix's primary operational focus. All incidents are reviewed, and depending on their significance, are investigated and reported to the Board. Corrective actions are developed and monitored to prevent recurrence and ensure continuous improvement in Calix's safety management system.

The frequency of near-miss incidents is regarded by Calix as a positive leading indicator of safety culture, whereby all employees are required to, and feel empowered to, report all safety incidents, including near misses. The Company does not have a minimum criterion for incident reporting. All material reports undergo detailed investigations, analysing root causes, sharing learnings across the business, and where possible, preventative actions are implemented.

Calix's dedicated focus on improvement, using industry best practice, meant that no lost time injuries occurred in FY24, despite significant operational activity.

Total recordable incident rate¹	2.5
Recordable incident rate – employees	2.5
Recordable incident rate – contractors	0
Total near-miss incidents	101
Total near-miss incidents FY23	115
Near miss frequency rate²	63
Total fatalities	0
Fatalities – employees	0
Fatalities – contractors	0
Total workforce lost time incident rate¹	0
Total lost time incident rate – employees	0
Total lost time incident rate – contractors	0
Total lost workdays	0
Tier 1 process safety events³	0

Psychosocial health and flexible work

In FY23, the psychosocial health of Calix's employees and contractors was identified as a particular area of importance. An internal Psychosocial Health Committee was consequently formed to develop a psychosocial health strategy. In FY24, the Health & Safety Team, in consultation with the Psychosocial Health Committee, hosted workshops to gather input from team members across our functions and regions to identify opportunities for improvement. Looking forward, the team will develop strategies to best address the key risk areas identified and institute monitoring of psychosocial health risks to understand how these risks evolve.

We understand our people are more than employees, so in FY25, we will develop a Digital Disconnection Policy to assist our people in finding balance in their time management. This is particularly important for roles that are performed remotely.

A flexible and inclusive work environment extends to all Calix employees, and where possible we support our team with arrangements to be their best at work and home. This includes flexible working arrangements, as well as wellbeing and parental leave in some locations. Parental leave is offered to primary and secondary carers, and in FY24, 9 employees took parental leave with everyone returning to work following the completion of their leave.

100% 
OF EMPLOYEES WHO TOOK PARENTAL LEAVE RETURNED TO WORK

Employee Assistance Program

To foster continued wellbeing and support mental health, all employees and their families can access an independent Employee Assistance Program (EAP). The EAP provides confidential support and counselling in response to the diverse needs of Calix's employees, including personal, family or work-related concerns affecting an employee or their family's health and wellbeing.

Part of keeping our people safe includes managing our plants in a way that ensures ongoing protection while working in and around the facility. Some examples of initiatives implemented in FY24 at our key technology centre in Bacchus Marsh, include:

- Updating the Emergency Response Plan to provide specificity around appropriate response actions and the people accountable.
- Adding traffic management instructions to reduce the potential for vehicular accidents as well as revamping the Equipment Location Map for improved clarity and accuracy.
- Utilising more tools to convey potential hazards, such as a site map displaying active exclusion zones.

HUMAN RIGHTS

Human rights, modern slavery and child labour

Calix respects human rights as defined by the United Nations Guiding Principles on Business and Human Rights and has implemented the Principles in our operational policies and procedures. We support the elimination of all forms of forced and compulsory labour and the effective abolition of child labour, modern slavery, and human trafficking. Calix endeavours to ensure human rights are strictly upheld throughout our supply chain and operations. We intend to continue building on our policies and engage suppliers to further protect fundamental human and labour rights.

1. Per 200,000 hours.

2. Per 200,000 hours. Calix defines a 'near-miss' incident as any unsafe act, with no reporting threshold.

3. Per million hours.

CONTINUALLY INNOVATING

An inherent value of Calix is innovation:

We use first principles thinking to challenge each other and adapt quickly to new opportunities.

INNOVATING WITHIN OUR OPERATIONS

In 2022, we set a goal for ourselves to have 100% sustainable material inputs that are reusable, renewable and/or recyclable by 2030. In the coming months, we will refine our broader sustainability strategy, including our resource consumption target to improve clarity around how we qualify our waste reduction ambitions. Addressing our MHL product in Australia was our starting point. Taking the learnings from the IBCs pilot, we will continue investigating ways to best minimise the negative outputs of our operations and amplify the positives. Beyond MHL, we see opportunities for influence to minimise waste and emissions, as well as support better socio-economic outcomes via an innovative delivery model in our other business lines.

As we move from the pilot phase to demonstration plants to full-scale commercialisation, Calix recognises the need to progress our procurement practices. We plan to map our highest-spend suppliers in order to engage them in efforts to reduce resource use and ensure human rights are upheld throughout the supply chain. We will also introduce sustainability as an evaluation criterion for new product and supplier assessments. We believe embedding sustainability throughout our supply chain will be mutually beneficial for Calix and our stakeholders, helping to support continual innovation in how our products are made and improving environmental and socio-economic outcomes from our operations.

DECARBONISING CEMENT & LIME



Accelerating the transition to net zero by providing the most compelling decarbonisation solution for global cement and lime.

Cement is the key ingredient in concrete, the most consumed substance on Earth after water¹. Cement provides the foundations of modern life. Its production, however, is also inherently carbon-intensive, accounting for ~8% of global CO₂ emissions².

Calix's subsidiary, Leilac, aims to deliver a low-cost capture solution for emissions released unavoidably in the production of cement, without the use of additional chemicals or processes. The Leilac technology is retrofittable, scalable, and compatible with low-carbon alternative fuels, electrification and renewable energy to provide viable solutions for near-zero emissions cement and lime.

In FY24, Leilac-2 – an EU-funded demonstration project to capture up to 100,000 tonnes of process CO₂ per year – was relocated to Heidelberg Materials' cement plant in Ennigerloh, Germany, following the closure of the Heidelberg Materials Hannover cement plant. Construction of Leilac-2 is expected to commence in 2025, following the conclusion of permitting.

Affordable and scalable decarbonisation solutions for cement can accelerate a just transition to net zero by balancing social, economic and environmental sustainability.

DIRECT AIR CAPTURE



Applying the Leilac technology to atmospheric carbon dioxide removal by Direct Air Capture in partnership with Heirloom.

To achieve global climate goals, decarbonising alone will not be enough. Centuries of industrialisation has released excess CO₂ into our planet's atmosphere, and these legacy emissions must also be mitigated if we are to avoid the worst effects of climate change. The Intergovernmental Panel on Climate Change projects 1-10 billion tonnes of atmospheric CO₂ removal per year is required to limit global warming to 1.5 °C.

Leilac and Heirloom, a Direct Air Capture (DAC) company, have signed a global and perpetual licence agreement and collaboration agreement to bring together two complementary technologies designed to capture and remove CO₂ from the atmosphere. In FY24, extensive testing of the combined technologies continued, and the development of two DAC facilities in Shreveport, Louisiana was announced. The facilities are designed to be capable of jointly removing up to 317,000 tons of carbon dioxide from the atmosphere each year – a significant development in the global effort to address climate change.

1. Concrete Future – GCCA 2050 Cement and Concrete Industry Roadmap for Net Zero Concrete.

2. Trends in global CO₂ emissions; 2016 Report, The Hague: PBL Netherlands Environmental Assessment Agency.



CONTINUALLY INNOVATING

ENABLING GREEN METALS



Producing low-carbon and value-added green metals through the decarbonisation of iron, steel and alumina.

The production of iron, steel and aluminium together account for approximately 11% of direct global greenhouse gas emissions^{1,2}. The processing of iron ore and bauxite to form steel and aluminium is highly-energy intensive and conventionally reliant on fossil fuels to power the process. The iron and steel sector is particularly hard-to-abate, as coal is also used as a reducing agent to convert iron ore to metallic iron, as well as an energy source to heat the reaction.

Calix's Zero Emissions Steel Technology (ZESTY) and Zero Emissions ALumina (ZEAL) technology use renewably powered electric heating to deliver clean and efficient mineral processing – decoupling energy intensity from carbon intensity. ZESTY is also designed to enable the most efficient use possible of green hydrogen as a reductant, replacing the use of coal in steelmaking.

In FY24, Calix completed its pilot scale testing of ZESTY and a Front-End Engineering Design study for a ZESTY green iron demonstration plant, whilst also progressing engineering studies for ZEAL calciners.

Calix's ZESTY was listed among the top 17 Innovators in the World Economic Forum's First Movers Coalition Enabling Technologies Steel Challenge in FY24.

This recognition is part of First Movers' broader objective to catalyse near-zero emission steel innovators – demonstrating demand signal, triggering commercial investment, promoting collaboration and identifying obstacles to decarbonisation in the steel sector.

As essential materials within engineering and construction, steel and aluminium play crucial roles in supporting a number of the Sustainable Development Goals. Decarbonising some of the world's largest sources of industrial emissions could add value to local iron ore and alumina exports, future-proof local production and underpin sustainable global development.

TOWARDS SUSTAINABLE CRITICAL MINERALS



Enabling low carbon, low waste and value-added mineral products with electric mineral processing at the mine site.

With increasing demand for the critical minerals needed in a decarbonising global economy, mineral processing must solve sustainability challenges across the supply chain.

Calcination is one of the most energy-intensive steps in the lithium battery materials supply chain. In a Joint Venture (JV) with Pilbara Minerals (ASX: PLS), Calix is applying its electric calcination technology to produce a concentrated low-carbon intensity lithium phosphate salt at Pilbara Minerals' Pilgangoora operation.

The innovative 'mid-stream' process is designed to reduce the carbon-energy intensity of spodumene calcination by more than 90% when compared with using coal as the primary source of thermal energy in rotary kiln calcination, and by more than 80% when compared with the use of natural gas¹.

Processing critical minerals at the mine site can also enable enhanced ore recovery and avoid the transport of waste through the conversion of ores to refined mineral products.

In FY24, the demonstration plant being developed in a JV with Pilbara Minerals commenced construction, following a successful Final Investment Decision.

Sustainable processing solutions, such as the production of low-carbon lithium, have the potential to deliver a significant reduction in the cost and environmental impact of critical minerals, adding value to mineral exports and enabling a more sustainable transition towards net zero.

1. International Energy Agency, *Emissions Measurement and Data Collection for a Net Zero Steel Industry*, April 2023.

2. International Energy Agency, *Tracking Clean Energy Progress 2023*.

INCREASED UTILISATION OF MINERAL RESOURCES



Reducing waste by enabling the processing of fine and ultrafine material.

A further advantage of processing minerals at the mine site is the potential to increase the utilisation of the mineral resource and reduce waste.

Fines and ultra-fines are the spectrum of the mined material with a small particle size. Fines are often incompatible with conventional thermal processing, where flue gases can simply blow the fine material out of the calciner. Alternatively, fines can be pelletised or agglomerated, however, this adds a potentially cost-prohibitive processing step. As a result, fines are often considered too difficult or expensive to handle and consigned as waste.

Electric calcination and Calix's flash calcination technology is ideally suited to processing small particle sizes, enabling the use of fines that would otherwise be discarded as waste. As such, electric calcination at the mine site offers significant potential to provide greater recovery and utilisation of the mineral resource.

ELECTRIFICATION OF MINERAL PROCESSING



Enabling renewably powered industrial processes and grid-load balancing.

Electric calcination is compatible with intermittent renewable energy sources, flexible operations and power generation response to improve energy security and deliver more cost-effective operations.

Calix's electric calcination technology is designed to enable fast start-up and shut down, and highly flexible production rates through a high turndown ratio. By leveraging this capability, mineral producers can improve the cost-effectiveness of renewably powered mineral processing by matching output to demand and renewable energy costs.

For grid-connected facilities, electric mineral processing has the potential to ramp down production and associated energy requirements at times of high demand, thereby providing a valuable load-balancing service to the energy grid. Given the large energy requirements of industrial alumina or green iron production, the electrification of such facilities and the use of demand-side controls have the potential to deliver a valuable stabilising service to renewably powered grids, complementing supply-side measures such as battery storage. In turn, this could support a reduction in grid infrastructure costs and the inclusion of increased levels of renewable generation into energy grids.



CONTINUALLY INNOVATING

WATER TREATMENT SOLUTIONS



Magnesium-based products for safe, effective and more sustainable water and wastewater treatment.

Clean water and sanitation are central to achieving the SDGs. Currently, 80% of wastewater flows back into the ecosystem without being treated or reused, while existing water treatment products, such as caustic soda, can have significant detrimental environmental impacts¹.

Calix's magnesium-based products are designed to minimise the release of hazardous chemicals and materials into our water systems. In FY24, Calix's subsidiary, IER, opened two new hydration facilities in the US to expand the reach of our more sustainable water and wastewater treatment solutions.

Effective water and wastewater management prevents pathogens, nutrients and other types of pollution from entering the environment, protecting freshwater systems, oceans and human health.

In 2024, Calix's Australian-based MHL business retained its ISO 9001 certification, demonstrating the Company's continued dedication to the highest standard of product quality for our customers and the environment. While the certification applies to our MHL business - representing 21% of our operations - the learnings and best-in-industry approaches are integrated into our wider approach.

TOWARDS MORE SUSTAINABLE AGRICULTURE



Unique, bioactive materials to improve crop protection and fight anti-microbial resistance.

Following many years of antibiotic overuse, antimicrobial resistance is now a rapidly emerging global crisis. Reducing reliance on conventional pesticides, biocides and antibiotics is urgently needed. Calix's unique non-toxic bioactive materials show promising potential to suppress pathogenic microorganisms, insect pests, and marine biofoulants through a generally non-lethal mode of action with very low resistance development potential.

In collaboration with Australia's Cooperative Research Centre for Solving Antimicrobial Resistance (CRC SAAFE), an ongoing livestock health project confirmed Calix's bioactive materials provide quantifiable control of pathogenic and drug-resistant animal and human bacteria.

Alternatives to products with lethal modes-of-action in agriculture can help maintain biodiversity and reduce the risk of future outbreaks of infectious diseases.

1. <https://www.unwater.org/water-facts/water-quality-and-wastewater>



PUBLIC POLICY ENGAGEMENT

As well as urgently developing and deploying our environmental technology solutions, Calix actively engages with governments, policymakers and non-governmental organisations around the world to support effective and impactful collective climate action. We are pleased to share our experience and ideas in removing barriers and implementing sector-specific and cross-cutting strategies for industrial decarbonisation solutions. We also welcome the opportunity to contribute towards collaborative efforts to achieve national and global climate goals.

In FY24, Calix and its subsidiary, Leilac, were pleased to contribute to government efforts to decarbonise industry through submissions to the:

- Australian Government's [Carbon Leakage Review](#)
- U.S. Department of Energy's Request for Information on [Transforming Industry – Strategies for Decarbonization](#)
- U.S. Department of Energy's Request for Information Regarding Launching a Responsible Carbon Management Initiative
- Californian Air Resources Board's Community Air Protection Program Draft Blueprint 2.0
- Californian Air Resources Board's Workshop for Net-Zero Emissions Strategy for the Cement Sector

In July 2024, Calix was also pleased to respond to the Australian Government's [Green Metals consultation](#) and [Critical Minerals Production Tax Incentive consultation](#).

Calix acknowledges the support of government funding, including from the European Union Horizon 2020 programme, the Australian Renewable Energy Agency, the Australian Government's Modern Manufacturing Initiative, and the Australian Government Modernisation Fund. Calix's project partners were also the beneficiaries of funding from the US Department of Energy, the State of Louisiana, and the German-Australian HyGate Initiative.



COMMUNITY

BENEFITING COMMUNITIES

Beyond the primary goal of GHG emission reduction, decarbonisation projects also have the potential to deliver local community benefits. Calix's delivery model for its decarbonisation technology is designed to augment its projects' primary objectives and create environmental, health and socio-economic benefits for local communities.

By providing viable pathways to reach net zero, effective decarbonisation solutions can help to create economically sustainable local industries in a decarbonising global economy. This can support the retention of jobs and existing economic activity in a low-carbon economy. At commercial scale, Calix will deliver its industrial decarbonisation solutions through a blueprint model that aims to use local firms and local resources. This model is designed to maximise the scale and speed of our impact, and share the value created by such projects with the communities in which we operate.

Decarbonisation projects can also support improved environmental and health outcomes beyond reducing GHG emissions. Switching industrial heat sources from coal and the combustion of other fossil fuels to renewably generated electricity can deliver improved air quality to the surrounding communities. Electrification can also reduce fugitive dust emissions. Unlike other carbon capture solutions, the Leilac technology captures unavoidable CO₂ emissions without the use of additional chemicals or solvents that may otherwise enter the local environment.

Embedding local community benefits into decarbonisation projects can help unify efforts to address climate change and climate justice to deliver a just transition to net zero.

In FY24, Calix developed Community Benefit Plans for multiple projects. These plans embed the delivery of community benefits in the objectives and budget of projects. They include plans to establish community advisory panels to promote engagement with and feedback from the local community; suggested local procurement, training and hiring targets that include diversity, equity, inclusion, and accessibility considerations; and public outreach that aims to raise awareness and foster acceptance of decarbonisation technologies.

Solutions that decarbonise industrial facilities and remove excess CO₂ from the atmosphere have the potential to deliver significant local community benefits in addition to effective decarbonisation, including:

- Regional and permanent job creation
- Protection of economies historically reliant on local industrial activity
- Improved environmental and health benefits from reduced or even eliminated emissions and pollutants released to the surrounding area
- Reduced global CO₂ emissions and increased supply chain resilience through sustainable local manufacturing
- Load balancing support for the local electricity grid, enabling increased incorporation of renewable energy generation and lower costs.

UNITED STATES

Shreveport, Louisiana

In June 2024, Heirloom and Leilac announced the construction of two major DAC facilities in Northwest Louisiana. With support from the U.S. Department of Energy and the State of Louisiana, the facilities will contribute to local economic benefits and job creation – expecting to create at least 1,000 construction jobs and over 80 permanent jobs. The local benefits that Heirloom's facilities can deliver is enhanced by Calix's delivery model – using industry partners and local resources – in support of a just transition to sustainable local industries.



OUR PARTNERSHIPS

Calix aims to closely align our philanthropic support with our business objectives, benefiting the communities and environments in which we operate. Through our Magnesia line of business, our safe and effective water treatments are protecting human health and ecosystems by preventing detrimental pathogens from entering freshwater and the Earth's oceans. That's why Calix has chosen to support clean water nonprofits, and in FY24 continued our sponsorship of WaterAid.

WaterAid

WaterAid is a global non-profit organisation dedicated to transforming lives by improving access to clean water, sanitation, and hygiene. WaterAid works in some of the world's poorest communities to provide essential services that not only save lives but also empower individuals and communities to break the cycle of poverty. With a strong commitment to sustainable solutions, WaterAid has made significant strides in ensuring that everyone, everywhere has access to clean water and sanitation, promoting health, education, and economic development around the world.





RESPONSIBLE BUSINESS



OUR APPROACH

Calix is dedicated to transparency and accountability, prioritising the interests of our stakeholders and the wellbeing of the environment. Calix's Board, is responsible for the overall operation and stewardship of Calix, as described in the [Board Charter](#). The Board aims to create and continue to build sustainable value for shareholders in accordance with the duties and obligations imposed by Calix's constitution and by law.

Governance overview

Executive Management, under the delegated authority from the Board, implements the Company's policies and strategies, including those related to our sustainability endeavours. Our CEO leads the Company, setting business priorities and ensuring ESG is embedded into our purpose and practices. Our Chief Financial Officer (CFO) oversees the Sustainability and Financial functions, guiding the sustainability strategy and approving financing for ESG initiatives.

A Volunteer Sustainability Team, led by our Sustainability Manager, works to execute Calix's sustainability strategy. The team encompasses strong operational knowledge, as well as diverse thought and innovative ideas needed to further the Company's sustainability initiatives. Within the team, a GHG working group aids in the annual data collection process for the Company's emissions footprint.

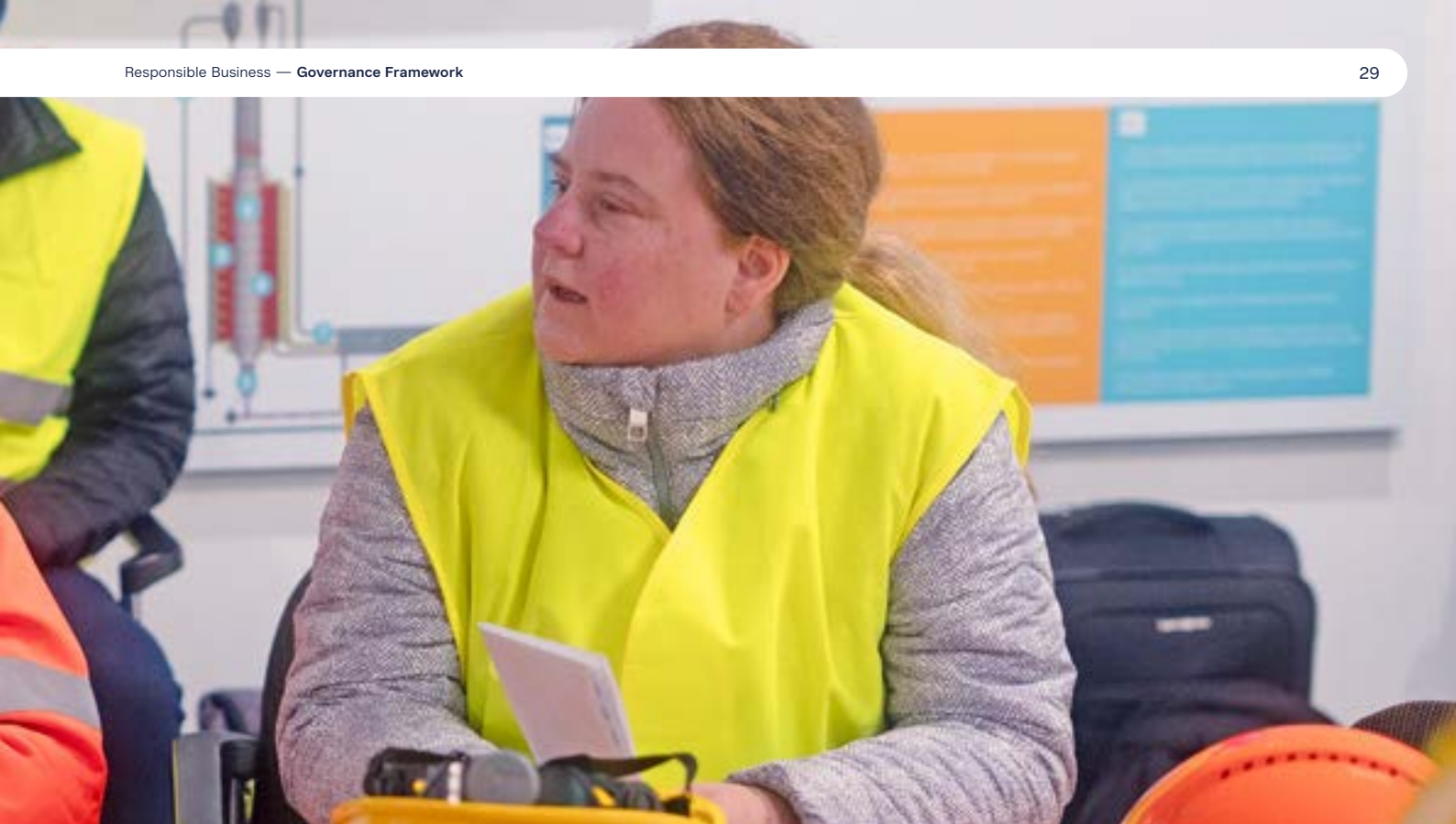
Calix's Corporate Governance Statement outlines the Company's overall approach to responsible business and governance, including the Sustainability Committee of the Board's oversight role of the sustainability strategy.

Across the Company, our [Code of Conduct](#) defines the principles and ethical business practices directors, officers and employees must adhere to, including our obligations to stakeholders. Calix also operates under the company policies publicly available on our website. In FY25, the Company will strengthen policies introduced in FY22 to ensure human rights are strictly upheld throughout Calix's supply chain and operations.

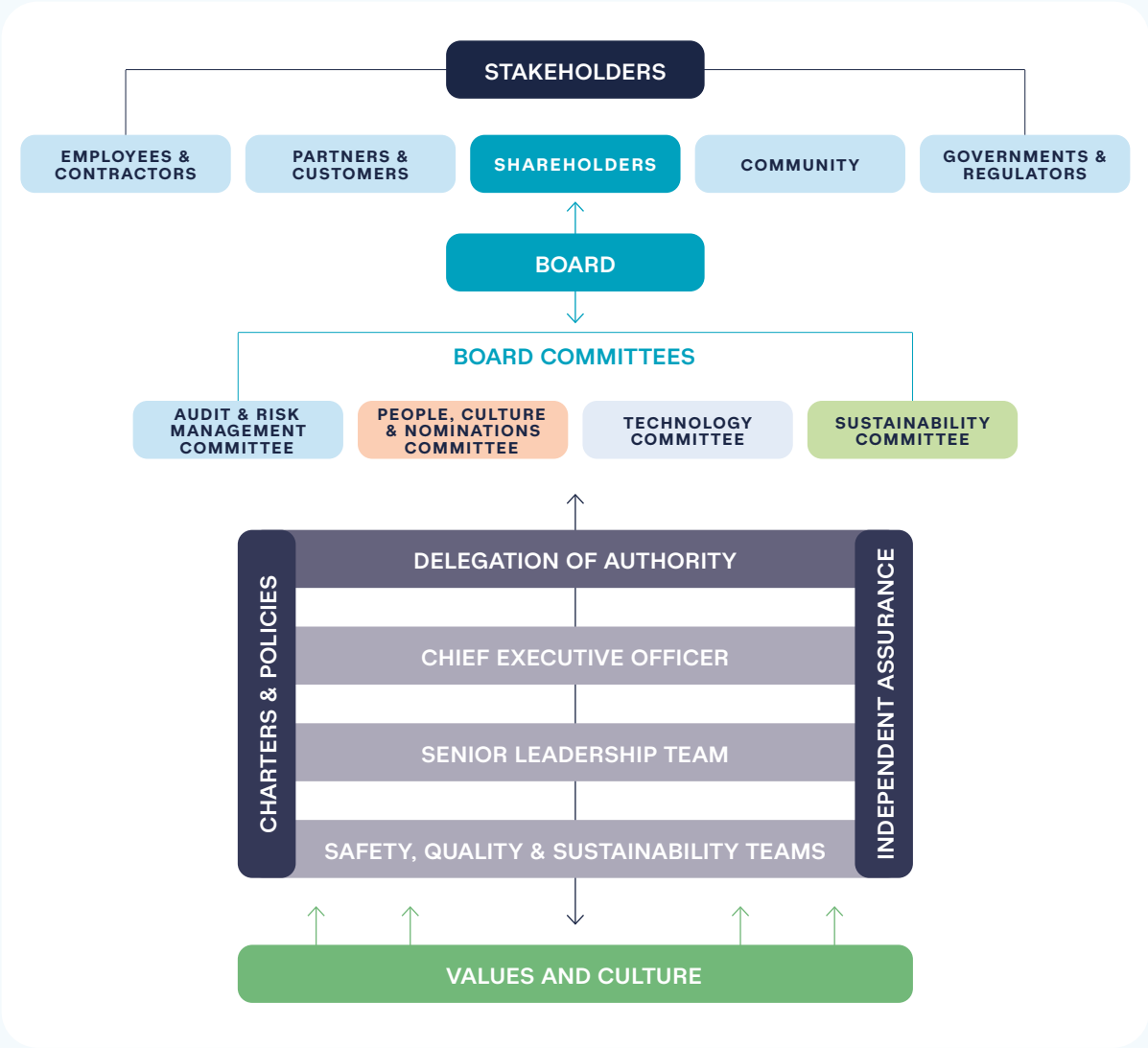
Anti-corruption and whistleblower protection

In FY24, Calix received zero reports of bribery or corruption and made no political donations, in accordance with our [Code of Conduct](#) and [Anti-Corruption and Anti-Bribery Policy](#).

Employees are encouraged to report any enquiries, complaints and/or issues as they relate to illegal actions, misuse of company property, deceptive behaviour, and related misconduct. In the event a report is made, Calix is committed to investigating and addressing it appropriately, including the protection of anyone who files the complaint in accordance with our [Whistleblower Protection Policy](#). The Policy is underpinned by a strong commitment to building a culture in Calix that reflects sound governance and promotes ethical behaviour in the detection and management of fraudulent, corrupt or improper conduct. Calix plans to broaden this reporting mechanism to all stakeholders in our value chain.



Calix Limited Governance Framework





APPENDIX

Sustainable Development Goals

The current applications of Calix's core platform technology are aligned with ten SDGs that address climate change and other environmental challenges to build a more sustainable planet.

SDG Calix Business Line



Magnesia



Magnesia



Magnesia



Sustainable Processing



Sustainable Processing, Leilac



Magnesia



Sustainable Processing, Leilac, Magnesia



Magnesia



Magnesia



Sustainable Processing, Leilac

Reporting topics

In preparation for Australia's Climate-related Financial Disclosures, Calix is aligning its sustainability disclosures with the proposed framework outlined by the AASB. Ahead of the deadline recommended by the Australian Government's Treasury, Calix is working to become compliant with internationally aligned regulations to meet investor, government and stakeholder reporting and disclosure expectations and requirements.

Area	Disclosure
Strategy	Our sustainability ambitions In accordance with the proposed Australian Sustainability Reporting Standards, within the next two years, Calix will complete its climate scenario analysis. Further, we intend to submit a net-zero target and develop a net-zero transition plan. Future Sustainability Reports will provide progress updates towards these plans.
Governance & Risk Management	Corporate Governance Statement The Calix Limited Corporate Governance Statement provides an overview of Calix's corporate governance framework, policies and practices, including its risk management approach. In FY24, the Corporate Governance Statement is being published alongside the Calix Limited Annual Report and Calix Limited Sustainability Report. Calix's compliance with the fourth edition of the Australian Securities Exchange (ASX) Corporate Governance Principles and Recommendations (Principles and Recommendations) and a checklist cross-referencing these Principles and Recommendations to the relevant disclosures are outlined within ASX Appendix 4G. Calix's current ASX Appendix 4G has been lodged with the ASX and is also available in the investor centre on the Company's website.
Metrics & Targets	Our sustainability ambitions Calix's metrics and targets currently centre on the Company's sustainability ambitions, including emissions reduction. Calix intends to incorporate any additional metrics related to the management and monitoring of material climate-related risks and opportunities stemming from our climate-related assessments. Scope 1: 2,791.5 tCO₂-e Scope 2 (market-based): 587.5 tCO₂-e Scope 3: 14,558.4 tCO₂-e Total emissions: 17,937.3 tCO₂-e

Emissions data

Operational boundary

The FY23 GHG emissions inventory covers Scopes 1, 2, and 3 emissions where reliable data is available for the facilities under the operational control of Calix. These include the Company's facilities in Australia (Bacchus Marsh, Nerang, Myrtle Springs Mine Site, and the Pymble head office), the United States (Pasco Plant, Muscatine Plant, Big Soo Plant, Centralia Plant, and the Spokane Office), and Europe (Leilac-1 Plant*).

*For the Leilac-1 plant, only the employee-related activities and expenditures are covered in the boundary, not the operation of the plant.

Temporal boundary

The emissions footprint included in this year's report represents FY23 (1 July 2022 – 30 June 2023.) Calix will establish a full baseline year using its FY24 inventory following a resetting of organisational boundaries. This is part of an ongoing effort within the Company to build its emissions reporting capabilities, especially as it relates to the collection of Scope 3 emissions data.

Methodology

Scopes 1, 2 and 3 emissions were calculated by Pangolin Associates utilising industry standard methodology. The global methodology is derived from the latest NGRS methodology and associated emissions factors for Scopes 1 and 2 and aligned with the GHG Protocol Corporate and Value Chain Standards for the Scope 3 methodology and emissions factors. Emission factors were derived from the National Greenhouse Accounts, SimaPro Software, IELab Australia and Exiobase, the US EPA, and the UK Government. They were calculated in conjunction with the IPCC 2021 GWP100 method. Where possible, data was sourced from primary sources to represent real, full-year data, however, in some instances, assumptions, extrapolations, and exclusions were factored in due to limited access to complete data.

CONTACT INFORMATION

Disclaimer

This Report has been prepared by Calix Limited (ABN 36 117 372 540) ("Company").

This Report contains summary information about the Company and its subsidiaries ("Calix") and their activities current as at 27 August 2024.

This Report contains certain "forward-looking statements". The words "expect", "future", "anticipate", "estimate", "intend", "believe", "guidance", "should", "could", "may", "will", "predict", "plan" and other similar expressions are intended to identify forward-looking statements. Forward-looking statements, opinions and estimates provided in this presentation are based on assumptions and contingencies which are subject to change without notice.

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Securities Exchange listing

Calix Limited shares are listed on the Australian Securities Exchange (ASX).

ASX code: CXL

Share registry

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join, partner or contribute in
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